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When Do Governance Architectures Change? Foreign Ownership and Bounded Reconfiguration

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Research Summary
How firms undertake system-level corporate governance change under cross-border pressure remains poorly understood. We examine when such pressure leads to governance architecture reconfiguration, focusing on Japanese firms' adoption of the "audit committee" system. Drawing on the willing-and-able framework, we argue that responses depend on whether decision makers perceive a governance architecture as both salient and feasible within existing stakeholder-oriented structures. Using panel data on Japanese listed firms (2015–2023), we find that Anglo-American foreign ownership, particularly by active investors, increases adoption likelihood. These effects are stronger in weaker disclosure environments and weaker where stakeholder ties are more embedded. Adoption is associated with substantive board restructuring rather than symbolic compliance. Overall, governance reform proceeds through bounded, context-dependent reconfiguration rather than convergence.

Managerial Summary
Firms face growing pressure to adopt global corporate governance practices, but reform does not automatically translate into better oversight. Studying governance change in Japan, we show that firms respond selectively depending on how consequential and implementable reforms are within their existing structures. Active foreign investors play a key role by making specific governance changes more salient and actionable, increasing both adoption and substantive implementation. However, outcomes depend on firm conditions: reforms are more likely when transparency is low and less likely when firms are deeply embedded in traditional stakeholder networks. For managers and boards, this implies that effective governance reform requires aligning external expectations with internal feasibility, rather than adopting formal structures that may not fit the organization.

Keywords: Governance Reconfiguration; Foreign Ownership; Organizational Responses; Comparative Corporate Governance Systems

INTRODUCTION

Corporate governance reforms increasingly expand firms' formal options without mandating a particular model. Within the same legal environment, firms may choose whether to retain traditional governance structures or adopt alternative systems associated with different monitoring logics. These reforms do not merely invite incremental adjustment; they enlarge the organizational choice set by introducing alternative governance architectures.[1] This raises a fundamental but underexplored question: when firms are granted discretion over governance architecture, what drives system-level governance change, and how deeply is it implemented?

Comparative corporate governance research emphasizes that governance systems consist of interdependent institutional arrangements rather than interchangeable mechanisms (Aguilera & Jackson, 2003; Aguilera et al., 2012). Configurational theory reinforces this view by treating organizations as embedded in bundles of national institutions, in which complementarities among ownership, finance, labor relations, and law shape governance outcomes (Aguilera et al., 2012; Misangyi & Acharya, 2014; Rediker & Seth, 1995). This matters because reforms that expand firms' governance options do not merely invite incremental adjustment; they introduce alternative architectures that vary in their compatibility with existing stakeholder-oriented structures. In such settings, external pressure for reform may be similar across firms, yet adoption depends on whether a specific governance template is viewed as locally actionable.

When reforms in stakeholder-oriented systems open the door to Anglo-American governance models, they create tensions between imported monitoring logics and locally embedded stakeholder arrangements. Prior research has made substantial progress in explaining how firms adjust individual governance practices, such as board independence, executive

[1] We define governance architecture as the configuration of authority, monitoring structures, and stakeholder relationships that jointly organize corporate oversight.

compensation, or disclosure, within existing systems (e.g., Desender et al., 2016; Pan & Zhou, 2018; Shi & Connelly, 2018; Shinozaki et al., 2016; Tuschke & Sanders, 2003). Foreign owners are often viewed as key catalysts of such change because they possess formal control rights and can directly influence firms' strategic decisions (Rowley & Shipilov, 2017). Yet this perspective tells only part of the story: it explains why pressure for governance reform arises, but not why similar pressure leads firms to adopt some governance practices, resist others, or implement them only symbolically.

This limitation becomes particularly salient when reforms involve system-level governance reconfiguration rather than isolated changes to specific practices. Such reforms require fundamental changes to existing governance arrangements, making adoption contingent not only on external pressure but also on how firms evaluate the actionability of the reform. In such cases, the key issue is not only whether foreign investors favor reform, but whether firm-side decision makers view a given governance architecture as sufficiently important to warrant action and sufficiently feasible to implement within existing governance structures. As a result, we know relatively little about why similar pressures lead to divergent responses, ranging from strategic engagement to inertia or symbolic compliance.

Japan offers a particularly revealing setting to examine these dynamics. First, Japanese firms are embedded in a stakeholder-oriented governance system that has historically relied on relational monitoring and has shown strong resistance to Anglo-American governance models (Desender et al., 2016; Weimer & Pape, 1999). Second, Japan has introduced multiple governance system reforms that differ markedly in the extent of organizational reconfiguration they require, thereby creating a clear menu of architectural choices within the same institutional environment. Third, foreign ownership in Japan has risen substantially. By 2023, foreign investors held nearly 32 percent of the market value and accounted for about 70 percent of trading volume, enhancing their ability to influence firms' governance choices.

A prominent study examining system-level governance change in Japan is Chizema and Shinozawa (2012), which analyzes the adoption of the U.S.-style "three committees" system. Despite having been available for more than two decades, that system has been adopted by fewer than three percent of listed firms. In contrast, the "audit committee" system introduced in 2015 has been adopted by more than 37 percent of listed firms by 2023. This contrast is difficult to explain through foreign investor preferences alone. Foreign investors have reasons to favor stronger board-level monitoring under both systems, yet firms overwhelmingly rejected one and selectively adopted the other. We argue that the difference lies in the character of the reform itself. Whereas reforms that require only marginal adjustment may lead to symbolic compliance, and reforms that require radical reconfiguration often elicit inaction, intermediate reforms create conditions under which firms engage strategically with governance change. The "audit committee" system represents such an intermediate architecture: it strengthens board-level monitoring while allowing more compatibility with the existing governance structure. We refer to this as bounded governance reconfiguration, defined as the adoption of an imported governance architecture when firm-side decision makers view it as consequential enough to address external governance demands, yet compatible enough with existing stakeholder arrangements to be implemented without wholesale displacement of the domestic governance system.

We use the willing-and-able framework (Durand et al., 2019) as our core theoretical lens and draw on comparative corporate governance research to specify why governance architecture choice is especially consequential in this setting. We argue that foreign investors create cross-border governance pressure, but system-level change occurs when firm-side decision makers view a particular governance architecture as both strategically consequential and organizationally implementable. Active foreign investors play a key role by heightening the salience of reform, clarifying what constitutes a credible response, and sharpening the consequences of non-adoption.

We test our arguments using data on Japanese listed firms from 2015 to 2023 and examine whether Anglo-American foreign ownership, particularly active foreign ownership, is associated with the adoption of the "audit committee" system. We further examine whether these effects vary across firms' disclosure environments and embeddedness in traditional stakeholder networks, and whether adoption under foreign investor influence reflects substantive organizational change rather than formal compliance alone. To address endogeneity concerns, we exploit peer firm restatements as shocks that heighten foreign investors' concerns about monitoring effectiveness.

This study contributes to international business research on the cross-border diffusion of governance practices by showing imported governance templates diffuse unevenly because firms selectively internalize only those architectures that are locally actionable. We shift the focus from governance practices to governance architecture as the primary unit of organizational response under cross-border pressure. Using Japan as a setting in which governance architecture is highly consequential, we show that foreign investors explain only part of the story: governance reform is more likely when active investors make a specific architecture more salient and actionable, and less likely when stakeholder embeddedness raises the organizational costs of reconfiguration. Our evidence further suggests that, under these conditions, governance architecture change can extend beyond formal adoption to involve substantive changes in board structure and oversight.

JAPANESE CORPORATE GOVERNANCE REFORM

Corporate governance in Japan has traditionally been characterized by a stakeholder-oriented, network-based model supported by mutually reinforcing institutions and long-term business relationships (Aguilera & Jackson, 2003; Desender et al., 2016). Influenced by German corporate law (Weimer & Pape, 1999), the traditional "auditor board" (kansayaku) system separates monitoring from decision-making: firms establish a board of auditors responsible for compliance and financial oversight, while the board of directors retains formal authority. Monitoring is thus assigned to a separate body rather than embedded within the board, reflecting a governance architecture grounded in relational ties and stakeholder-oriented mechanisms.

In response to concerns about the effectiveness of this system (Deakin, 2011; Ishida & Kochiyama, 2023), regulators introduced a major reform in 2002 allowing firms to adopt a unitary board structure, the "three committees" system. Under this model, firms replace the auditor board with audit, nomination, and compensation committees within the board (Companies Act, 2005, art. 402), embedding monitoring directly in board governance and strengthening independence and shareholder oversight (Buchanan, 2007; Gilson & Milhaupt, 2005). Despite these advantages, adoption has remained limited, with fewer than three percent of listed firms implementing the system by 2023.

The limited uptake reflects the substantial organizational reconfiguration required. To address these barriers, regulators introduced a more flexible option in 2015, the "audit committee" system (Financial Services Agency & Tokyo Stock Exchange, 2015). This reform occupies an intermediate position between the traditional auditor-board system and the three-committee model. Firms adopting it establish an audit and supervisory committee within the board to oversee directors and monitor managerial conduct (Companies Act, 2005, art. 399), but are not required to adopt nomination or compensation committees. As a result, the system strengthens board-level monitoring while preserving key elements of the existing governance architecture. This lower reconfiguration burden helps explain its broader diffusion: by 2023, more than 37 percent of listed firms had adopted it. Key features of the three governance systems are summarized in Appendix S1, Table A1.

THEORY FRAMEWORK AND HYPOTHESIS DEVELOPMENT

Foreign Ownership as a Driver of Governance Architecture Change

Foreign investors possess both the incentives and the capacity to influence corporate governance architecture in host-country firms (Desender et al., 2016; Foss et al., 2021). Owing to geographic distance and informational asymmetries, they face heightened monitoring challenges and therefore favor governance arrangements that strengthen board oversight, accountability, and transparency (Chizema & Shinozawa, 2012; Desender et al., 2016). These preferences are reflected in support for independent boards, formalized monitoring structures, and shareholder-oriented governance practices (Fama & Jensen, 1983; Kang & Kim, 2010; Kim et al., 2016; Lewellen & Lewellen, 2022), in contrast to Japan's traditional governance architecture, which relies more heavily on relational monitoring and stakeholder coordination (Aguilera et al., 2017).

Foreign investors' ability to influence governance outcomes also increases with ownership stakes. Firms that do not respond to their governance concerns face the risk of capital withdrawal and price volatility (Chizema & Shinozawa, 2012). Investors exert influence through both exit and direct and indirect engagement (Aguilera et al., 2025). Directly, they engage in monitoring, voting, and dialogue with management to advocate governance reform (Desender et al., 2016; Geng et al., 2016). Indirectly, they benchmark firms against global governance standards, signaling the implications of governance choices (Bonetti & Ormazabal, 2023).

However, while these arguments explain why foreign investors favor stronger monitoring and how they exert pressure, they do not explain why similar pressure leads firms to adopt some governance architectures but not others. Explaining this variation requires shifting attention from investor preferences to how firm-side decision makers evaluate the actionability of alternative governance architectures.

Organizational Responses to Foreign Pressure: A Willing-and-Able Perspective

Although foreign ownership generates pressure for governance reform, firms vary substantially in how they respond. Institutional theory emphasizes that organizations do not mechanically conform to external demands; instead, they respond selectively based on how they interpret the issue at stake and on their capacity to mobilize resources for change (Durand et al., 2019; Monteiro & Miranda, 2023; Oliver, 1991).

Drawing on the willing-and-able model of organizational responses to cross-border governance pressure (Durand et al., 2019), we argue that responses to governance system reform depend on two distinct mechanisms: issue salience (which shapes the willingness to act) and perceived feasibility of implementation (tied to the ability to act). The relevant question is not simply whether foreign investors want reform, but whether senior decision makers inside the firm view a given governance architecture as important enough to warrant action and feasible enough to implement within existing organizational and stakeholder constraints.[2] Because governance reforms differ in the extent of reconfiguration they require, firms' responses depend on whether a given architecture is perceived as both consequential and manageable within existing organizational and stakeholder constraints. As a result, similar external pressure can produce divergent outcomes depending on the reconfiguration demands of the reform.

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[2] Because salience and feasibility are not directly observed, we use ownership structure and contextual moderators as theory-consistent indicators of the conditions under which a governance reform becomes more or less actionable for firm-side decision makers.

Salience of Adopting the "Audit Committee" System

Salience captures whether decision makers perceive a governance reform as consequential for firm value and legitimacy (Bundy et al., 2013; Durand et al., 2019). Crucially, salience does not reflect the intensity of external pressure alone, but whether the issue is interpreted as consequential for firm value, legitimacy, and long-term positioning. Foreign ownership heightens salience by increasing expectations for transparency, accountability, and board-level monitoring (Aguilera et al., 2017; Desender et al., 2016), making governance architecture a strategic rather than purely compliance-oriented decision.

Salience is also shaped by the scope of reconfiguration implied by reform. Governance architectures that are too limited may fail to attract attention, while those that are highly disruptive may not be viewed as actionable. In the Japanese context, the "audit committee" system occupies an intermediate position between the traditional "auditor-board" system and the "three committees" model: it strengthens board-level monitoring while preserving key elements of the existing governance structure. This intermediate character makes it both consequential and compatible, increasing the likelihood that firms exposed to foreign investor pressure view it as a relevant and actionable response. Firms with greater foreign ownership are therefore more likely to perceive adoption of the "audit committee" system as strategically salient.

Cost-Benefit Considerations and the Feasibility of Adoption

Salience alone does not ensure adoption. Firms also evaluate governance reform through a cost–benefit lens that reflects their ability to absorb the organizational and relational consequences of change. On the benefit side, adopting the "audit committee" system can mitigate the risk of foreign investor exit, stabilize stock prices, and improve access to global capital by signaling alignment with internationally recognized governance standards (Aggarwal et al., 2011;

Bonetti & Ormazabal, 2023; Desender et al., 2016).

On the cost side, transitioning to the "audit committee" system requires restructuring board processes, redefining oversight responsibilities, and potentially altering power relations among stakeholders (Durand et al., 2019; Witt & Redding, 2009). Domestic stakeholders, including employees and banks, may resist changes perceived as weakening relational monitoring or long-standing coordination mechanisms (Aguilera & Jackson, 2003; Chizema & Shinozawa, 2012; Hoshi et al., 1990; Morck & Nakamura, 1999). Employees, for example, may view increased board oversight as a threat to Japan's traditional lifetime employment practices, potentially lowering morale and heightening labor tensions (Witt & Redding, 2009). Similarly, banks, which have long held an authorized oversight role in the traditional system, may view system shifts as a reduction of their influence over corporate decision-making, potentially tightening their lending policies (Hoshi et al., 1990; Morck & Nakamura, 1999).

The key point is that the "audit committee" system lowers, but does not eliminate, these implementation burdens. Relative to the "three committees" system, it offers a more bounded form of governance reconfiguration: it enhances board-level monitoring without requiring a wholesale break from the traditional architecture. This intermediate character makes adoption more feasible for firms facing foreign investor pressure, because it allows them to respond to demands for stronger oversight while limiting disruption to existing stakeholder arrangements.

Foreign Ownership and the Likelihood of Adoption

Firms' responses to foreign pressure depend on whether governance reform is perceived as both consequential and feasible. Higher Anglo-American foreign ownership increases the likelihood that firms will view adoption of the "audit committee" system as an appropriate response to external governance expectations. Because this system strengthens board-level monitoring while requiring less extensive reconfiguration than more radical alternatives, it offers firms a more actionable way to respond to foreign investor pressure. Accordingly, firms with higher Anglo-American foreign ownership should be more likely to adopt the "audit committee" system:

Hypothesis 1 (H1): *High Anglo-American foreign ownership is associated with a higher likelihood of adopting the "audit committee" system.*

Active Foreign Investors and Governance System Change

The influence of foreign investors on corporate governance is not uniform, but varies systematically with their investment strategies and engagement styles (Boone & White, 2015). While some investors adopt a hands-off approach that emphasizes broad governance standardization (i.e., passive investors), others engage directly with firms to shape governance structures and implementation processes (i.e., active investors).

Active foreign investors pursue selective investment strategies and engage directly with firm management and boards (Breugem & Buss, 2019; Fich et al., 2015). Through dialogue, voting, and monitoring, active investors are able to shape not only firms' awareness of governance reform, but also how such reforms are interpreted and implemented (McNulty & Nordberg, 2016). This distinction is especially important in the context of governance architecture change. Unlike passive investors, active investors do more than register a general preference for stronger governance. Through firm-specific engagement, they can frame the "audit committee" system as a concrete and credible response to identifiable monitoring deficiencies, thereby increasing the likelihood that managers treat it as a strategically relevant course of action.

Active investors also influence firms' assessment of implementation feasibility and the consequences of non-adoption. By adjusting portfolio positions in response to governance concerns (Admati & Pfleiderer, 2009; Appel et al., 2016), they can trigger price volatility and increase the cost of capital (Ahmadjian & Robbins, 2005; Chizema & Shinozawa, 2012). At the same time, their closer engagement reduces uncertainty by clarifying what meaningful adoption entails and by signaling that intermediate reforms such as the "audit committee" system constitute credible governance improvements. In this way, active investors affect not only the pressure to reform, but also the extent to which reform appears organizationally actionable.

In contrast, passive foreign investors primarily seek to replicate benchmark index returns and typically maintain diversified portfolios with limited firm-level engagement (Appel et al., 2016). Prior research shows that such investors influence governance outcomes mainly through market-wide effects, including board composition (Appel et al., 2016; Heath et al., 2021; Schmidt & Fahlenbrach, 2017), financial reporting quality (Boone & White, 2015; Rawson & Rowe, 2022), and corporate social responsibility (Lu et al., 2022). Their effects may be exerted through more generalized mechanisms rather than firm-specific governance practices.

Active foreign investors, therefore, play a distinct role in governance system change. By increasing issue salience, reducing uncertainty surrounding implementation, and sharpening the economic consequences of non-adoption, they make governance reform a strategically actionable response rather than a purely symbolic commitment. Accordingly, we hypothesize that:

Hypothesis 2 (H2): *A higher proportion of active Anglo-American foreign ownership is associated with a higher likelihood of adopting the "audit committee" system.*

Contingency Factors: Information Environment and Organizational Embeddedness

Building on our framework, we examine contingencies that shape firms' responses to pressure from active Anglo-American foreign investors. While active investors increase the salience and feasibility of governance reform, firms' ability to translate this pressure into system-level change depends on contextual conditions that alter the perceived net benefits and costs of reconfiguration. We focus on two such contingencies: the firm's disclosure environment and its embeddedness in the traditional Japanese governance system.

Information disclosure and the feasibility of governance reform.

Investors rely on credible disclosures to assess firm performance and governance quality. When firms provide less informative disclosure, external monitoring becomes more difficult, and information asymmetries become more pronounced (Doh et al., 2017; Kingsley & Graham, 2017). These asymmetries are particularly salient for foreign investors, who lack access to relational, informal, and network-based information channels.

Under such conditions, governance architecture becomes more consequential because reforms that strengthen internal monitoring can reduce uncertainty and enhance credibility. Weaker firm-level disclosure heightens investor uncertainty, increases perceived risk, and can raise firms' cost of capital (Bourveau & Schoenfeld, 2017). Because active foreign investors depend disproportionately on transparent and credible public information to evaluate and discipline management, they are more likely to push for governance reforms that enhance transparency and accountability (Desender et al., 2016). At the same time, the signaling and monitoring benefits of governance reform are amplified when the firm's disclosure environment is weaker. Strengthening board-level oversight through the "audit committee" system enhances the credibility of financial reporting and monitoring not only for foreign investors, but also for domestic stakeholders who rely on transparent information for decision-making (Johnson et al., 2010; Seki, 2005; Solomon et al., 2004).

As a result, weaker disclosure increases the expected benefits of adopting a governance structure that signals credible oversight. Under these conditions, active foreign investors' pressure for governance reform is more likely to translate into adoption. Accordingly:

Hypothesis 3 (H3): *The weaker a firm's disclosure environment, the stronger the positive effect of active Anglo-American foreign ownership on the likelihood of adopting the "audit committee" system.*

Organizational embeddedness and resistance to governance reconfiguration.

For firms deeply embedded in Japan's traditional stakeholder-oriented governance system, adoption of more shareholder-oriented governance arrangements may be perceived as misaligned with established patterns of oversight and coordination and as potentially disruptive to long-standing relationships (Lincoln & Gerlach, 2004). The "audit committee" system, which strengthens board independence and shareholder accountability, alters the balance between board-level monitoring and relational forms of oversight. As a result, such firms may anticipate greater resistance from key stakeholders, including employees, banks, and affiliated firms, thereby increasing the relational and organizational costs of reconfiguration.

High levels of embeddedness therefore constrain firms' ability to respond to active foreign investor pressure, even when salience is elevated. In these contexts, active foreign investors may still elevate the strategic salience of reform, but firms are less likely to translate that pressure into adoption because stakeholder resistance raises the relational and organizational costs of reconfiguration. Consequently, we expect embeddedness in the traditional governance system to weaken the effect of active foreign ownership on adoption.

Hypothesis 4 (H4): *The greater a firm's embeddedness in the traditional Japanese governance system, the weaker the positive effect of active Anglo-American foreign ownership on the likelihood of adopting the "audit committee" system.*

Additional analysis: implementation depth among adopters

A related question is whether adoption under active foreign investor influence remains largely formal or is associated with deeper implementation. We treat this as a downstream implication of governance architecture choice rather than as a separate theoretical pillar. Research on organizational decoupling shows that firms may respond through symbolic compliance, i.e., formal adoption without meaningful change in underlying governance practices, or through substantive implementation that entails genuine changes to internal processes and power relations (Crilly et al., 2012; Shi & Connelly, 2018; Westphal & Zajac, 2001).

In our setting, the key question is whether foreign investors influence firms to move beyond symbolic compliance. While symbolic adoption may be a cost-effective response when implementation costs are high (Shi & Connelly, 2018), we argue that active Anglo-American foreign investors shift firms' cost–benefit calculus in favor of substantive implementation over both symbolic adoption and non-adoption. Because active investors engage closely with firms and can better assess whether governance reforms alter actual oversight practices, neither formal adoption alone nor non-adoption is likely to yield the full reputational and valuation benefits associated with reform.

Adopting the "audit committee" system entails meaningful organizational reconfiguration, including reallocating monitoring responsibilities within the board. Although these changes involve substantial transition costs, active investor scrutiny increases the returns to substantive implementation relative to symbolic adoption. By contrast, substantive implementation allows firms to translate these costs into tangible governance improvements, enhancing monitoring quality, external credibility, and the durability of governance commitments.

Accordingly, higher active Anglo-American foreign ownership should be associated with a greater likelihood of substantive adoptions:

Hypothesis 5 (H5): *Higher active Anglo-American foreign ownership is associated with a greater likelihood of substantive adoption of the "audit committee" system.*

DATA AND METHODOLOGY

Sample and Data

We construct our sample using all non-financial firms listed on the Tokyo Stock Exchange (TSE) over the period 2015–2023. This period begins with the introduction of the "audit committee" system and allows us to track its diffusion over time. Data are drawn from multiple sources. Information on firms' corporate governance systems and board composition is obtained from annual Corporate Governance (CG) Reports disclosed on the TSE website. These reports provide standardized information on firms' governance structures, including the adoption of the "audit committee" system and related board arrangements. Ownership structure and financial data are collected from LSEG Refinitiv. We exclude financial firms because their regulatory environment and reporting requirements differ substantially from those of non-financial firms. After applying these criteria, the final sample consists of 3,196 firms and 21,941 firm-year observations. Table 1 summarizes the sample construction and data-cleaning procedures.[3]

[Table 1 about here]

Econometric Model and Variable Definition

To test our hypothesis, we apply logistic regression models and linear probability models:

$$Prob(Audit\ committee_{it} = 1) = \alpha + \beta_1 Foreign\ owership_{it-1} + \gamma Controls_{it-1} + \theta_j + \delta_g + \tau_t + \varepsilon_{it} \quad (1)$$

, where θ_j, δ_g, τ_t denote industry, city, and year fixed effects. ε_{it} is the error term. β

[3]Large language model–based artificial intelligence tools were used exclusively to assist with limited drafting and language editing of the manuscript text. No scientific content, data analysis, interpretation, or conclusions were generated by the tool. All content was reviewed and approved by the authors.

represents the set of parameters to be estimated, standard errors are clustered at the firm level.[4]

To account for right-censoring in the data, we conduct event history analysis using a Cox proportional hazards model as a robustness check: $h(t|X) = h_0(t)\exp(\beta'X)$ (2) (Blossfeld et al., 2007; Geng et al., 2016). $h(t|X)$ represents the instantaneous probability that a firm adopts the "audit committee" system at time t, conditional on not having adopted it yet and on the firm's characteristics X. $h_0(t)$ is the unspecified baseline hazard function representing the instantaneous likelihood of the "audit committee" system adoption at year t for a firm with all covariates equal to zero. X is a vector of independent variables. β is a vector of the coefficients to be estimated. The results (in Appendix S1, Table A4) are consistent with the main analysis.

We use logit and linear probability models as our main specifications because the data are structured as annual firm-year observations and our theoretical interest lies in whether lagged ownership characteristics are associated with the probability that a firm adopts the "audit committee" system in a given year. The linear probability models serve as a benchmark for coefficient comparability and interpretation, while the Cox model provides a complementary robustness check that accounts for the timing of adoption and right-censoring.

Our main dependent variable, *Audit committee*, is the dummy variable that equals 1 if a firm adopts the "audit committee" system and 0 if a firm adopts the "auditor board" system. We exclude firms adopting the "three committees" system from our main analyses.

To assess whether adoption is substantive, we examine two dimensions: (1) the extent of change in board structure and (2) subsequent disclosure-related outcomes. We use four measures to capture both structural and qualitative aspects of the audit and supervisory (A&S) committee's

[4] Logit models with multiple fixed effects may be sensitive to limited within-group variation and can drop observations under perfect prediction. We therefore also estimate linear probability models with fixed effects as a benchmark. Although linear probability models have known limitations with dichotomous outcomes, they retain the full sample and provide a check on sensitivity to functional form. Results are consistent across estimators.

independence. Specifically, we examine whether: (1) the A&S committee chairperson is an outsider; (2) the proportion of outside or independent directors on the committee; (3) the committee exceeds the formal independence benchmark, defined as all outside directors being fully independent and unaffiliated with the firm; and (4) any former auditors from the previous auditor board continue to serve on the A&S committee. Prior research suggests that retaining former auditors may represent a compromise that preserves elements of the traditional governance logic under the guise of reform (Ishida & Kochiyama, 2023). Accordingly, the absence of former auditors on the A&S committee is interpreted as evidence of more substantive change. Detailed variable definitions are reported in Appendix S1, Table A2.

For subsequent disclosure-related outcomes, we focus on textual and calculation corrections ("訂正") in earnings and dividend forecast announcements disclosed on the TSE. Forecast corrections serve as a useful outcome measure for two reasons. First, unlike earnings restatements, which may pertain to prior fiscal years, forecast corrections are announced within the same fiscal year, allowing for a closer temporal link between governance reform and disclosure outcomes. Second, because textual and calculation errors are typically detectable prior to disclosure, their persistence may indicate managerial negligence or weaknesses in internal controls. *Forecast corrections* is a dummy variable equal to 1 if the firm issues corrections to earnings or dividend forecasts in the following fiscal year, and 0 otherwise.

We define three independent variables linked to foreign ownership. We first define *Foreign ownership* as the percentage of the total outstanding shares held by non-Japanese investors. Since institutional backgrounds may shape investment preferences, we further distinguish foreign investors from countries in which the Anglo-American unitary board system predominates from those from countries with a two-tier board structure closer to Japan's traditional governance model. To this end, we classify foreign owners into two groups: those from countries with the Anglo-American unitary board system and those from countries with a two-tier board governance model similar to Japan's.[5] The latter group includes foreign owners from Germany, Denmark, Switzerland, Norway, the Netherlands, Austria, and Finland; all others are classified as unitary system investors.[6] Accordingly, we define *Foreign unitary ownership* and *Foreign two-tier ownership* as the percentage held by non-Japanese investors from unitary board system and dual-board system countries, respectively.

Foreign unitary ownership is further divided into active and passive groups, defined respectively as the percentage of total outstanding shares held by active and passive non-Japanese investors from unitary board system countries. We follow the LSEG Refinitiv classification and, for robustness, apply alternative classifications based on Ferreira and Matos (2008) and Kacperczyk et al. (2021), treating hedge funds, investment advisors, and non-index mutual funds as active, and others as passive. Results are reported in Appendix S1 Tables A7 and A8.

We employ two complementary measures to assess the firm's disclosure environment. The first measure, *Information update frequency*, captures the total number of earnings forecast updates issued during a fiscal year. Prior accounting research uses disclosure frequency as an indicator of disclosure quality and transparency (Nagar et al., 2003; Shroff et al., 2013), with more frequent updates reflecting lower information asymmetry. The second measure, *Mandated Q4 update or silence,* equals one if a firm either issues a standalone net income forecast update in

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[5] We classify foreign investors as originating from two-tier board system countries using two criteria: (1) more than 40 percent of firms in the investor's home country adopt a dual-board structure, and (2) the country's prevailing board structure is dual-board (Belot et al., 2014). Investors are classified as exposed to a two-tier system if they meet both criteria when both are observable, or the single available criterion when only one is observable. The results are robust to stricter alternative classifications of Anglo-American unitary-system countries.

[6] Our results are robust to excluding foreign ownership from geographically proximate Asian economies, including mainland China, Hong Kong, South Korea, Taiwan, and Singapore. The baseline and difference-in-differences results remain substantively unchanged (Appendix S1, Tables A7 and A8).

fiscal Q4 that meets the regulatory threshold (i.e., 30 percent or more) or issues no earnings update during the fiscal year, and zero otherwise. Mandated fourth-quarter standalone revisions or the absence of interim updates indicate a weaker disclosure environment and greater information asymmetry (Aguilera et al., 2017).

We focus on two dimensions of embeddedness. The first captures employee influence, measured by employee ownership, which reflects attachment to stakeholder-oriented governance arrangements (Ahmadjian & Robbins, 2005; Yoshikawa et al., 2005). The second dimension captures ownership-based interdependence through cross-shareholdings, a core feature of Japan's governance system (Chizema & Shinozawa, 2012; Deakin, 2010).[7] Consistent with the definition reported by the Financial Services Agency of Japan (2024), cross-shareholding is measured as the ratio of shares of listed companies held by other listed companies to total market capitalization, excluding shares of subsidiaries and affiliates.

We include a wide range of control variables to capture error terms and reduce endogeneity concerns. We first include a series of financial-related variables, as previous literature indicates that firm financial performance is associated with firms' strategic changes (e.g., Kuusela et al., 2017; Triana et al., 2011). This set of variables includes *ROE, Market-to-book, Ln sales,* and *Revenue growth.* Firm size and age are included because they may shape a firm's capacity and incentives to implement strategic changes (Chizema & Shinozawa, 2012; Josefy et al., 2015). Besides, board and managerial characteristics may play a critical role in facilitating the realization of strategic changes (Aguilera et al., 2017). Hence, we include *Board size, Board independence,* and *CEO optimism.* Finally, we include additional ownership-related variables to

[7] Although cross-shareholding stakes are modest in percentage terms, cross-shareholding ties are common in our sample. Approximately 32 percent of firms are held by other listed firms, with an average stake of 3.5 percent among those firms. This suggests that, even when ownership shares are not large, cross-shareholding remains a meaningful feature of firms' governance environment.

account for alternative explanations. We include *Domestic concentration, Employee ownership, Domestic bank ownership, Cross ownership*, and *Family ownership*. We also introduce the industry (classified by TSE), prefectural city, and year dummy variables to control for the industry, geographic, and time effects. All the independent variables are measured at the end of the prior year to avoid simultaneity bias. Continuous variables are winsorized at the 1 and 99 percentiles. We provide detailed variable definitions in Appendix S1 Table A2.

DATA ANALYSIS AND RESULTS

Descriptive Statistics

Table 2 presents descriptive statistics for the main variables used in the analysis. On average, 26.4 percent of firm-year observations in the sample adopt the "audit committee" system. Mean foreign ownership is 11.8 percent. Of this, foreign ownership originating from countries with dominant unitary board systems accounts for 10.4 percent, whereas ownership from two-tier board countries represents 1.2 percent. On average, active foreign investors hold 5.6 percent of total shares, while passive foreign investors hold 4.7 percent.

[Table 2 about here]

Table 3 reports the number and proportion of firms adopting the "audit committee" system and the "three committees" system over time. Adoption of the "audit committee" system increases steadily throughout the sample period, whereas adoption of the "three committees" system remains low and relatively stable, at approximately 1.7 percent of listed firms.

[Table 3 about here]

Pairwise correlations among the main variables are reported in Appendix S1, Table A3. We observe a negative correlation between foreign ownership and the adoption of the "audit committee" system. This pattern should be interpreted cautiously, however, because the correlations do not account for firm heterogeneity, year effects, or the conditional relationships and interaction effects central to our theoretical framework.

Main Results

We present the results of multivariate logit and linear models. For logit models, we report estimated coefficients in the table and interpret average marginal effects evaluated at the means. Table 4, Columns (1)–(6) present the baseline results examining the relationship between foreign ownership and firms' likelihood of adopting the "audit committee" system.

Columns (1), (2), (5), and (6) show that foreign ownership, including that from unitary board countries, is positively and significantly associated with adoption, supporting Hypothesis 1. A one standard deviation increase in foreign ownership (0.142) is associated with a 0.023 increase in adoption probability, corresponding to an 8.7 percent increase relative to the sample mean (0.264). Columns (3), (4), (7), and (8) include squared terms, which are statistically insignificant, suggesting that nonlinear effects are not a primary concern. Results from Cox proportional hazards models (Appendix S1, Table A4) are consistent, indicating that a one-standard-deviation increase in foreign ownership increases the hazard rate of adoption by approximately 12 percent.

To benchmark these findings, we examine the adoption of the "three committees" system. Table 4, Columns (11)–(14), show that foreign ownership is not significantly associated with adoption. This is consistent with the view that more radical governance reconfiguration entails costs that outweigh perceived benefits for most firms, and aligns with our argument that foreign ownership is more strongly associated with intermediate rather than radical governance change.

We next distinguish between active and passive foreign investors. Table 4, Columns (9) and (10), show that active foreign ownership is positively and significantly associated with adoption, supporting Hypothesis 2. A one-standard-deviation increase in active foreign ownership (0.093) corresponds to an 8.7 percent increase in adoption likelihood. Hazard model estimates (Appendix S1, Table A4) indicate a similar increase in the hazard rate (approximately 12.5 percent). Active ownership is not significantly associated with the adoption of the "three committees" system (Columns (15) and (16)), reinforcing the distinction between intermediate and radical governance reconfiguration.

[Table 4 about here]

Addressing endogeneity concerns

To mitigate concerns about reverse causality, we re-estimate the baseline models using five-year lagged values of (active) foreign ownership. The results remain consistent with the baseline findings (Appendix S1, Table A5).

To address the possibility that foreign investors anticipate adoption, we conduct an event-study analysis focusing on adopting firms. We estimate event-time indicators relative to the adoption year, with T−1 as the omitted category. If investors anticipate adoption, foreign ownership should increase prior to adoption. However, coefficients for the pre-adoption period (T−5 to T−2) are small and statistically insignificant, with no systematic upward trend (Appendix S1, Table A6), providing no statistical evidence of anticipatory investment.

We further address endogeneity by employing a staggered difference-in-differences (DiD) design. We exploit large-magnitude restatements of net income (≥ 30 percent) by peer firms as plausibly exogenous shocks.[8] Peers are defined as firms sharing at least one of the focal firm's

[8] We base this threshold on Japan's mandatory forecast revision rule. Firms are required to update previously disclosed earnings forecasts when the difference between the revised and prior forecast reaches at least 30 percent for net income. Following this regulatory benchmark, we use the same 30 percent threshold and treat such updates as sufficiently material to capture a disclosure shock.

top three domestic owners, irrespective of rank.[9] Such restatements are unlikely to directly affect a focal firm's governance choice, but they plausibly increase foreign investors' concerns about the effectiveness of domestic monitoring arrangements (Gai et al., 2021).

This shock is relevant for two reasons. First, restatements attributed to weak oversight can intensify active foreign investors' incentives to advocate for governance structures with stronger independent monitoring. Second, negative governance-related events create windows of opportunity for renegotiating existing arrangements and challenging the status quo (Farndale et al., 2025). This approach builds on prior work that leverages exogenous shocks to capture shifts in institutional investor attention and pressure (Dyck et al., 2019; Gai et al., 2021). Details of the matching procedure and DiD specification are provided in Appendix S1.

Table 5 reports DiD estimates using the matched sample. Columns (1)–(6) present results based on three-year cohort windows. The coefficients on the triple interaction terms, capturing the differential effect of peer restatements across levels of (active) foreign ownership, are positive and statistically significant. These findings indicate that, following peer restatements, firms with higher levels of (active) foreign ownership are more likely to adopt the "audit committee" system. Columns (7)–(12) show that the results are robust when using a four-year cohort window.

[Table 5 about here]

Figure 1 visualizes the average treatment effects of peer restatements across levels of (active) foreign ownership, with 95 percent confidence intervals. Panel A shows no evidence of differential pre-trends in the four years preceding the shock, supporting the parallel trends assumption. Following the shock, adoption of the "audit committee" system increases markedly for firms with high (active) foreign ownership, with no comparable effect among firms with low

[9] This means that the largest domestic ownership of the focal firm is identical to one of the top 3 largest domestic ownership of the peer firm, and the same for the second and third largest domestic owners.

ownership. Panel B shows that the treatment effect is concentrated among firms with higher levels of active foreign ownership. Additional results by ownership percentiles are reported in Appendix S1, Figure A1.

[Figure 1 about here]

Contingent Effects

We examine whether the influence of active Anglo-American foreign ownership on adoption of the "audit committee" system varies with firm-specific conditions that either amplify or constrain responsiveness to external governance pressure. We first examine whether the effect of active foreign ownership depends on the firm's disclosure environment. Table 6, Columns (1) and (2), show that the interaction between active foreign ownership and Information update frequency is negative and statistically significant. These results indicate that the positive effect of active foreign ownership on the adoption of the "audit committee" system is stronger among firms that provide fewer earnings updates. Column (2) shows that each additional earnings forecast update reduces the marginal effect of a one-standard-deviation increase in active foreign ownership by approximately 4.05 percent. Columns (3) and (4) report results using the second disclosure measure. The interaction coefficients are positive and significant, indicating that active foreign ownership is more strongly associated with the adoption of the "audit committee" system among firms that disclose earnings information only reluctantly or in response to regulatory mandates. Together, these findings are consistent with our Hypothesis 3.

One concern is that disclosure quality may itself be correlated with foreign ownership. Prior research suggests that foreign ownership is associated with more informative disclosure (Aguilera et al., 2017), which would bias against our predictions by making weak-disclosure firms less likely to have high foreign ownership. The fact that we nevertheless observe significant interaction effects in the predicted direction suggests that our findings are unlikely to be driven solely by this concern. We nonetheless interpret these results cautiously.

We next examine whether organizational embeddedness in Japan's traditional governance system attenuates the effect of active foreign ownership. Table 6 presents our results. Columns (5) and (6) show that the interaction term is negative and significant, suggesting that higher employee ownership is associated with greater resistance to adopting the "audit committee" system. Columns (7) and (8) indicate that active foreign investors exert a stronger influence on firms' transition to the US-style system when cross-shareholdings are absent. These findings suggest that foreign investor pressure translates less readily into adoption when firms are more deeply embedded in traditional stakeholder arrangements, consistent with Hypothesis 4.

[Table 6 about here]

Additional Analysis: Evidence on Substantive Adoption

We further examine whether firms' adoption of the "audit committee" system reflects substantive organizational change rather than symbolic compliance. Results reported in Table 7 (Columns (1) - (8)) indicate that firms with higher levels of active foreign ownership are more likely to implement substantive changes to committee composition. Substantively, Columns (2), (4), (6), and (8) show that a one-standard deviation increase in active foreign ownership (0.093) is associated with: a 0.005 increase in the likelihood that the A&S committee chairperson is an outsider (0.054×0.093); a 0.012 increase in committee independence (0.126×0.093); a 0.026 increase in the probability that all outside directors are fully independent (0.282×0.093); and a 0.010 increase in the likelihood that no former auditors serve on the A&S committee (0.113×0.093). Relative to sample means, these effects correspond to increases of 5.05 percent, 5.89 percent, 8.75 percent, and 6.58 percent, respectively, holding other variables constant.

Collectively, these results suggest that active foreign investors are associated with governance arrangements that exceed minimum compliance standards.

Table 7, Columns (9) and (10), report the results of subsequent forecast disclosure corrections in the following year. The main effect of active foreign ownership is positive but statistically insignificant ($p = 0.353$ and 0.337), indicating that among firms retaining the traditional "auditor board" system, active foreign ownership alone is not associated with forecast corrections. In contrast, the interaction between active foreign ownership and adoption of the "audit committee" system is negative and statistically significant ($\beta = -0.038$, $p = 0.049$; $\beta = -3.131$, $p = 0.084$). These results suggest that the association between active foreign ownership and fewer forecast corrections emerges primarily when firms adopt the "audit committee" system. Substantively, Column (10) shows that for firms with the "audit committee" system, a one–standard deviation increase in active foreign ownership (0.093) is associated with a 12.66 percent reduction in the likelihood of forecast corrections in the following year.

[Table 7 about here]

DISCUSSION

This study examines when and how external institutional pressure translates into system-level corporate governance (CG) change. Our central finding is that cross-border governance diffusion is bounded by local actionability. Foreign investors may carry governance expectations across borders, but firms are more likely to internalize governance architectures that are both consequential enough to address external demands and compatible with locally embedded stakeholder arrangements. In Japan, the "audit committee" system appears to have occupied this bounded zone, strengthening board-level monitoring without requiring wholesale displacement of the domestic governance logic.

The study contributes by explaining why transnational governance templates diffuse unevenly across borders. The key mechanism is not simply the presence of foreign investors, but whether active investors make a particular reform more salient, credible, and actionable for firm-side decision makers. Conversely, stakeholder embeddedness limits the translation of cross-border pressure into system-level change by raising the organizational and relational costs of reconfiguration.

Our evidence should therefore be interpreted as an explanation for why the "audit committee" system reform became actionable in Japan during the post-2014 governance reform wave, not as a general law of governance reform. The broader implication is that governance convergence is neither automatic nor purely ceremonial. It proceeds through selective and locally bounded reconfiguration, in which imported governance architectures are filtered through domestic institutional arrangements.

Our findings also shed light on the depth of implementation following adoption. In a context such as Japan, where symbolic adaptation to governance reform has been widely documented, the fact that active foreign investor presence is associated with deeper committee restructuring suggests that some instances of architecture change extend beyond formal compliance. At the same time, we do not claim that governance reform in Japan is generally substantive; rather, we show that substantive implementation appears more likely under conditions of active foreign investor engagement. We view this as an important downstream implication of governance architecture choice rather than a parallel theoretical contribution.

For international business research, the study highlights that governance practices do not simply diffuse because they are globally legitimate or favored by powerful cross-border investors. Their travel depends on host-country firms' ability to adapt imported templates to domestic governance arrangements. This perspective shifts attention from diffusion pressure alone to the local actionability of the practice being diffused.

The findings also have practical implications. For managers, governance reform should not be treated as a purely formal exercise: adoption alone does not ensure improvement, and benefits depend on substantive implementation. For investors, particularly active foreign institutional investors, the results highlight their role not only as sources of pressure but as enablers of substantive reform through engagement and monitoring. For policymakers, reforms that expand governance options are most effective when complemented by market-based actors that encourage substantive implementation while remaining attentive to local institutional constraints.

This study has several limitations. First, the findings are drawn from a context characterized by strong resistance to shareholder-oriented governance, which may limit generalizability. Future research could examine whether similar dynamics arise in settings with weaker stakeholder embeddedness or stronger enforcement. Second, while we document substantive outcomes, we do not directly observe the internal processes through which firms negotiate governance change. Qualitative and experimental approaches could help uncover these micro-level mechanisms. Finally, future work could examine how reforms varying in scope and disruptiveness interact with organizational capabilities and stakeholder configurations.

In conclusion, CG reform is not merely a ceremonial response to external pressure. In the Japanese context, Anglo-American foreign investors, particularly active ones, can catalyze system-level change when reforms balance salience and feasibility and when organizational conditions are conducive. By showing how firms selectively engage with imported governance architectures, this study advances understanding of governance change under institutional diversity and cross-border pressure.

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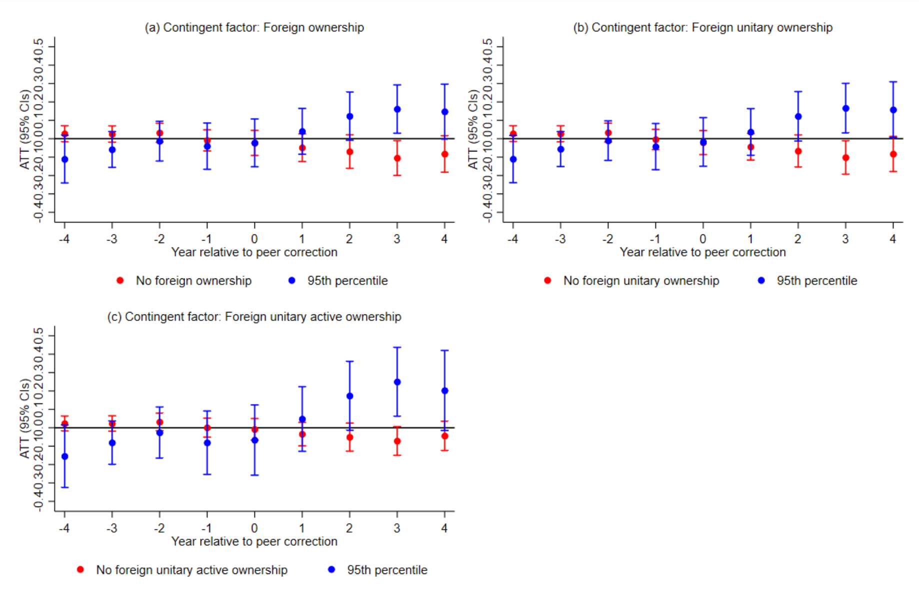
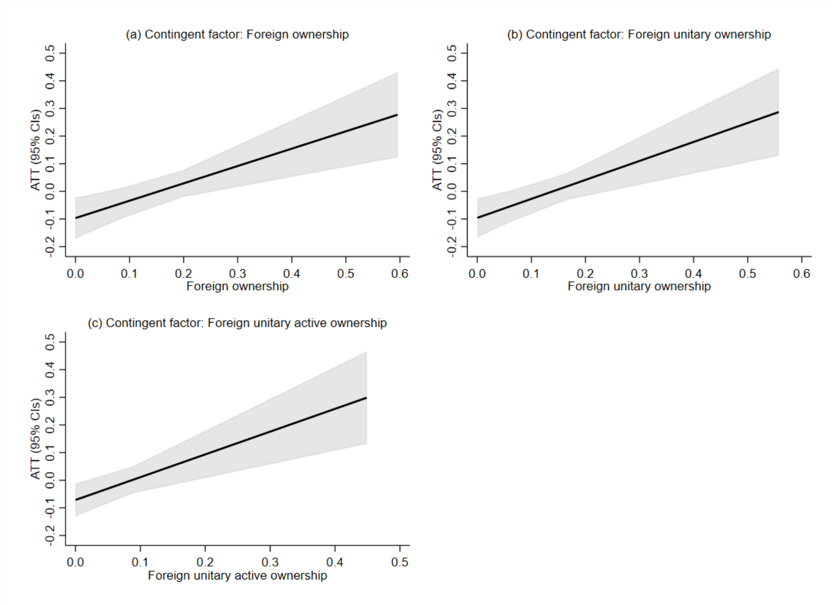
FIGURE 1 Average treatment effects of peer correction on the adoption of the "audit committee" system contingent on (active) foreign ownership

Panel A: Average treatment effects by year



Panel B: Average treatment effects by foreign ownership



This figure shows the average treatment effect on the treated (ATT). Panel A compares the ATT by year, contingent on (active) foreign ownership between 0 and 95th percentiles. Panel B shows the change in ATT for different levels of (active) foreign ownership. Treatment is defined as the peers of the focal firm experiencing net income restatements (≥ 30 percent). Vertical bars represent 95% confidence intervals. Robust standard errors are clustered at the firm level. Estimation by OLS regression.

TABLE 1 Sample construction

Observations from 2015 to 2023	29660
Observations in the financial industries	(1396)
Observations with missing value of corporate governance variables, ownership variables and, financial variables	(6323)
Total firm-year observations	21941

TABLE 2 Descriptive statistics

Variable	N	Mean	SD	p25	p50	p75
Audit committee	21941	0.264	0.441	0.000	0.000	1.000
Foreign ownership	21941	0.118	0.142	0.000	0.065	0.182
Foreign unitary ownership	21941	0.104	0.131	0.000	0.055	0.159
Foreign unitary active ownership	21941	0.056	0.093	0.000	0.000	0.076
Foreign unitary passive ownership	21941	0.047	0.068	0.000	0.024	0.068
Foreign two-tier ownership	21941	0.012	0.020	0.000	0.000	0.020
ROE	21941	-0.012	1.346	0.012	0.035	0.060
Market-to-book	21941	2.009	6.035	0.662	1.054	1.945
Leverage	21941	0.455	0.193	0.304	0.452	0.597
Ln sales	21941	19.755	1.766	18.535	19.660	20.909
Revenue growth	21941	0.029	0.321	-0.065	0.011	0.091
Firm size	21941	19.316	1.739	18.041	19.080	20.363
Firm age	21941	61.801	27.547	41.000	67.000	79.000
Listing age	21941	30.200	23.250	11.000	20.000	53.000
Board independence	21941	0.278	0.140	0.182	0.273	0.364
Board size	21941	8.288	2.798	6.000	8.000	10.000
CEO optimism	21941	0.643	0.479	0.000	1.000	1.000
Domestic concentration	21941	0.206	0.173	0.079	0.146	0.279
Employee ownership	21941	0.028	0.045	0.000	0.000	0.046
Domestic bank ownership	21941	0.081	0.096	0.000	0.048	0.134
Cross ownership	21941	0.011	0.025	0.000	0.000	0.008
Family ownership	21941	0.192	0.242	0.000	0.086	0.304

TABLE 3 Adoptions of “audit committee” and “three committees” system

Year	Percent of “audit committee” system adoptions (%)	Percent of “three committees” system adoptions (%)
2015	7.57	1.50
2016	8.77	1.75
2017	19.61	1.77
2018	23.07	1.38
2019	25.10	1.40
2020	27.48	1.59
2021	30.07	1.66
2022	33.99	1.81
2023	37.34	1.87

TABLE 4 Effects of foreign ownership

	(1) OLS	(2) Logit	(3) OLS	(4) Logit	(5) OLS	(6) Logit	(7) OLS	(8) Logit	(9) OLS	(10) Logit	(11) OLS	(12) Logit	(13) OLS	(14) Logit	(15) OLS	(16) Logit
Dependent variables					Audit committee								Three committees			
Foreign ownership	0.140**	0.955***	0.284**	2.025**							0.033	0.375				
	(0.056)	(0.346)	(0.135)	(0.860)							(0.024)	(1.158)				
Foreign ownership square			-0.278	-2.097												
			(0.235)	(1.552)												
Foreign unitary ownership					0.175***	1.208***	0.349**	2.527***					0.043*	0.771		
					(0.057)	(0.353)	(0.142)	(0.893)					(0.026)	(1.195)		
Foreign unitary ownership square							-0.357	-2.733								
							(0.263)	(1.717)								
Foreign unitary active ownership									0.204***	1.480***					0.016	-1.245
									(0.071)	(0.450)					(0.031)	(1.493)
Foreign unitary passive ownership									0.154	1.034*					0.079*	2.525
									(0.101)	(0.600)					(0.047)	(1.668)
Foreign two-tier ownership					-0.466	-3.588	-0.519	-4.012*	-0.471	-3.655			-0.123	-5.985	-0.135	-5.665
					(0.317)	(2.287)	(0.318)	(2.296)	(0.319)	(2.301)			(0.100)	(6.302)	(0.104)	(6.116)
ROE	0.004	0.029	0.004	0.030	0.004	0.028	0.004	0.029	0.004	0.029	0.000	0.075	0.000	0.070	0.000	0.062
	(0.003)	(0.036)	(0.003)	(0.037)	(0.003)	(0.036)	(0.003)	(0.037)	(0.003)	(0.036)	(0.000)	(0.075)	(0.000)	(0.067)	(0.000)	(0.051)
Market-to-book	0.000	0.002	0.000	0.002	0.000	0.001	0.000	0.001	0.000	0.001	-0.000	0.008	-0.000	0.006	-0.000	0.006
	(0.001)	(0.004)	(0.001)	(0.004)	(0.001)	(0.004)	(0.001)	(0.004)	(0.001)	(0.004)	(0.000)	(0.009)	(0.000)	(0.010)	(0.000)	(0.012)
Leverage	-0.037	-0.324	-0.033	-0.294	-0.037	-0.322	-0.032	-0.287	-0.034	-0.299	0.031***	0.811	0.031***	0.784	0.029**	0.647
	(0.038)	(0.230)	(0.038)	(0.231)	(0.038)	(0.230)	(0.038)	(0.230)	(0.038)	(0.230)	(0.011)	(0.968)	(0.011)	(0.971)	(0.011)	(1.018)
Ln sales	-0.034***	-0.199***	-0.035***	-0.206***	-0.033***	-0.192***	-0.034***	-0.200***	-0.033***	-0.195***	0.003	0.114	0.003	0.129	0.003	0.117
	(0.009)	(0.052)	(0.009)	(0.052)	(0.009)	(0.052)	(0.009)	(0.052)	(0.009)	(0.052)	(0.003)	(0.212)	(0.003)	(0.211)	(0.003)	(0.209)
Revenue growth	0.016	0.090	0.015	0.090	0.015	0.089	0.015	0.087	0.015	0.088	-0.003	-0.444	-0.003	-0.460	-0.003	-0.437
	(0.011)	(0.055)	(0.011)	(0.055)	(0.011)	(0.055)	(0.011)	(0.055)	(0.011)	(0.055)	(0.002)	(0.578)	(0.002)	(0.576)	(0.002)	(0.589)
Firm size	-0.033***	-0.224***	-0.034***	-0.232***	-0.031***	-0.213***	-0.032***	-0.221***	-0.032***	-0.215***	0.005**	0.308	0.006**	0.317*	0.006**	0.346*
	(0.008)	(0.051)	(0.008)	(0.051)	(0.008)	(0.051)	(0.008)	(0.052)	(0.008)	(0.051)	(0.002)	(0.188)	(0.002)	(0.189)	(0.002)	(0.194)
Firm age	-0.000	-0.001	-0.000	-0.001	-0.000	-0.001	-0.000	-0.001	-0.000	-0.001	0.000*	0.003	0.000	0.004	0.000*	0.004
	(0.000)	(0.002)	(0.000)	(0.002)	(0.000)	(0.002)	(0.000)	(0.002)	(0.000)	(0.002)	(0.000)	(0.007)	(0.000)	(0.007)	(0.000)	(0.007)
Listing age	-0.001**	-0.007**	-0.001**	-0.007**	-0.001**	-0.006**	-0.001**	-0.006**	-0.001**	-0.006**	-0.000*	-0.014	-0.000	-0.014	-0.000*	-0.016
	(0.000)	(0.003)	(0.000)	(0.003)	(0.000)	(0.003)	(0.000)	(0.003)	(0.000)	(0.003)	(0.000)	(0.011)	(0.000)	(0.011)	(0.000)	(0.010)
Board independence	0.891***	5.498***	0.891***	5.501***	0.892***	5.517***	0.891***	5.518***	0.892***	5.514***	0.213***	13.745***	0.213***	13.731***	0.213***	13.846***
	(0.043)	(0.273)	(0.043)	(0.273)	(0.043)	(0.272)	(0.043)	(0.272)	(0.043)	(0.272)	(0.030)	(1.091)	(0.030)	(1.091)	(0.030)	(1.082)
Board size	0.049***	0.309***	0.049***	0.309***	0.049***	0.309***	0.049***	0.310***	0.049***	0.310***	0.001*	0.214***	0.001*	0.217***	0.001*	0.214***
	(0.003)	(0.019)	(0.003)	(0.019)	(0.003)	(0.019)	(0.003)	(0.019)	(0.003)	(0.019)	(0.001)	(0.052)	(0.001)	(0.053)	(0.001)	(0.052)
CEO optimism	-0.005	-0.019	-0.005	-0.019	-0.005	-0.018	-0.005	-0.018	-0.005	-0.017	-0.002	-0.165	-0.002	-0.157	-0.002	-0.164
	(0.007)	(0.042)	(0.007)	(0.042)	(0.007)	(0.042)	(0.007)	(0.042)	(0.007)	(0.042)	(0.002)	(0.142)	(0.002)	(0.142)	(0.002)	(0.142)

Domestic concentration	0.032	0.227	0.038	0.262	0.030	0.216	0.035	0.251	0.029	0.215	0.013	0.043	0.012	-0.006	0.011	-0.299
	(0.046)	(0.280)	(0.046)	(0.282)	(0.046)	(0.280)	(0.046)	(0.282)	(0.046)	(0.280)	(0.012)	(1.342)	(0.011)	(1.323)	(0.011)	(1.362)
Employee ownership	0.166	1.175	0.173	1.230	0.171	1.209	0.177	1.264	0.169	1.200	0.041	0.099	0.043	0.309	0.042	-0.021
	(0.155)	(0.910)	(0.155)	(0.912)	(0.155)	(0.908)	(0.155)	(0.910)	(0.155)	(0.908)	(0.033)	(3.849)	(0.033)	(3.846)	(0.033)	(3.815)
Domestic bank ownership	0.095	0.682	0.091	0.655	0.101	0.728	0.098	0.706	0.102	0.737	-0.005	1.333	-0.003	1.400	-0.007	1.234
	(0.080)	(0.521)	(0.080)	(0.522)	(0.080)	(0.522)	(0.080)	(0.523)	(0.080)	(0.523)	(0.018)	(1.532)	(0.018)	(1.537)	(0.018)	(1.516)
Cross ownership	-0.129	-0.610	-0.123	-0.572	-0.147	-0.748	-0.140	-0.714	-0.146	-0.736	-0.140***	-11.067	-0.143***	-10.750	-0.145***	-11.305
	(0.260)	(1.807)	(0.261)	(1.810)	(0.261)	(1.814)	(0.261)	(1.817)	(0.261)	(1.817)	(0.046)	(8.340)	(0.046)	(8.233)	(0.046)	(8.354)
Family ownership	0.065**	0.338*	0.065**	0.339*	0.066**	0.348*	0.066**	0.348*	0.065**	0.346*	0.001	-3.648***	0.001	-3.570***	0.001	-3.715***
	(0.032)	(0.185)	(0.032)	(0.186)	(0.032)	(0.185)	(0.032)	(0.185)	(0.032)	(0.186)	(0.007)	(1.355)	(0.007)	(1.341)	(0.007)	(1.290)
Constant	0.890***	2.098	0.923***	2.370*	0.852***	1.769	0.886***	2.052	0.859***	1.837	-0.274***	-25.148***	-0.284***	-25.577***	-0.284***	-25.501***
	(0.174)	(1.362)	(0.176)	(1.378)	(0.175)	(1.377)	(0.177)	(1.392)	(0.175)	(1.379)	(0.060)	(3.623)	(0.061)	(3.604)	(0.061)	(3.574)
Industry FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
City FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
N	21941	21843	21941	21843	21941	21843	21941	21843	21941	21843	22260	16225	22260	16225	22260	16225
Adjust R^2	0.179	0.175	0.179	0.175	0.179	0.176	0.179	0.176	0.179	0.176	0.097	0.523	0.098	0.524	0.098	0.527

Notes: This table reports estimated coefficients for the relationship between foreign ownership and adoption of the "audit committee" and "three committees" systems. The dependent variable is an indicator for "audit committee" adoption in Columns (1)–(10) (1 = "audit committee" system; 0 = "auditor board" system) and an indicator for three-committees adoption in Columns (11)–(16) (1 = "three committees" system; 0 = "audit committee" or "auditor board" system). Robust standard errors clustered by firm are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

TABLE 5 Difference-in-difference results

	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)	(12)
Dependent variable: Audit committee	OLS	Logit	OLS	Logit	OLS	Logit	OLS	Logit	OLS	Logit	OLS	Logit
	3-year window						4-year window					
Contingent factor	Foreign ownership		Foreign unitary ownership		Foreign unitary active ownership		Foreign ownership		Foreign unitary ownership		Foreign unitary active ownership	
Post	0.056**	0.410**	0.048*	0.380*	0.030	0.245	0.064**	0.475**	0.056**	0.446**	0.039*	0.345*
	(0.026)	(0.202)	(0.025)	(0.198)	(0.022)	(0.181)	(0.028)	(0.218)	(0.027)	(0.212)	(0.023)	(0.197)
Peer restatement	0.005	-0.070	0.009	0.010	0.008	-0.071	0.019	-0.021	0.021	0.001	0.019	-0.030
	(0.024)	(0.368)	(0.023)	(0.363)	(0.023)	(0.353)	(0.022)	(0.385)	(0.022)	(0.382)	(0.021)	(0.368)
Peer restatement×Post	-0.092***	-0.443	-0.091***	-0.503	-0.067**	-0.294	-0.097**	-0.392	-0.096***	-0.395	-0.071**	-0.241
	(0.035)	(0.321)	(0.034)	(0.315)	(0.029)	(0.287)	(0.038)	(0.343)	(0.036)	(0.339)	(0.031)	(0.319)
Contingent factor	0.284**	3.313**	0.309**	3.615***	0.399**	4.966***	0.309**	3.786***	0.335**	4.148***	0.427**	5.598***
	(0.141)	(1.354)	(0.144)	(1.383)	(0.177)	(1.721)	(0.147)	(1.456)	(0.151)	(1.493)	(0.183)	(1.823)
Post×Contingent factor	-0.437***	-3.542***	-0.416***	-3.643***	-0.408***	-3.932***	-0.464***	-3.985***	-0.444***	-4.126***	-0.445**	-4.932***
	(0.134)	(1.074)	(0.140)	(1.130)	(0.153)	(1.214)	(0.146)	(1.163)	(0.153)	(1.230)	(0.174)	(1.360)
Peer restatement×Contingent factor	-0.099	-1.115	-0.126	-1.650	-0.154	-1.171	-0.173	-2.003	-0.192	-2.194	-0.263	-2.855
	(0.145)	(1.729)	(0.152)	(1.871)	(0.186)	(2.163)	(0.146)	(1.797)	(0.154)	(1.900)	(0.190)	(2.345)
Post×Peer restatement×Contingent factor	0.573***	4.184***	0.625***	4.927***	0.731***	4.851***	0.628***	4.943***	0.687***	5.430***	0.825***	6.438***
	(0.162)	(1.582)	(0.173)	(1.728)	(0.204)	(1.837)	(0.174)	(1.618)	(0.186)	(1.738)	(0.222)	(2.054)
Foreign unitary passive ownership					-0.101	0.089					0.007	0.658
					(0.298)	(4.043)					(0.192)	(1.956)
Foreign two-tier ownership			-0.207	-1.158	-0.043	-0.492			-0.353	-3.763	-0.267	-3.033
			(0.292)	(4.054)	(0.188)	(1.814)			(0.279)	(4.063)	(0.286)	(4.141)
Constant	1.081***	9.898***	1.074***	9.678***	1.081***	10.335***	0.858***	8.548***	0.840***	8.115***	0.849***	8.314***
	(0.243)	(2.245)	(0.243)	(2.286)	(0.241)	(2.317)	(0.221)	(2.237)	(0.221)	(2.290)	(0.219)	(2.301)
Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
City FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Cohort FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
N	6456	4413	6456	4413	6456	4413	8253	5423	8253	5423	8253	5423
Adjust R^2	0.236	0.228	0.237	0.229	0.239	0.233	0.235	0.222	0.236	0.224	0.237	0.226

Notes: This table reports difference-in-differences estimates using peer restatements as an exogenous shock to foreign ownership. The dependent variable is an indicator for "audit committee" system adoption (1 = "audit committee" system; 0 = "auditor board" system). Post equals 1 for post-treatment years and 0 for pre-treatment years (treatment year omitted). Peer restatement equals 1 if peer firms sharing the top three domestic owners experience net income restatements of at least 30%. The sample requires a minimum of seven years of governance, ownership, and financial data. Columns (1)–(6) use a three-year window, and Columns (7)–(12) use a four-year window. Robust standard errors clustered by firm are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

TABLE 6 Contingent effects

	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
Dependent variable: Audit committee	OLS	Logit	OLS	Logit	OLS	Logit	OLS	Logit
Contingent factor	Information update frequency		Mandated Q4 update or silence		Employee ownership		Cross ownership	
Foreign unitary active ownership	0.317***	2.176***	0.119	0.921*	0.297***	2.087***	0.267***	1.899***
	(0.085)	(0.526)	(0.076)	(0.501)	(0.079)	(0.497)	(0.076)	(0.476)
Contingent factor	0.013**	0.077**	-0.023***	-0.147***	0.346**	2.277**	0.142	1.253
	(0.005)	(0.032)	(0.008)	(0.051)	(0.167)	(0.953)	(0.288)	(1.924)
Contingent factor × Foreign unitary active ownership	-0.117**	-0.737**	0.210***	1.333***	-4.788***	-31.216***	-6.108***	-45.609**
	(0.047)	(0.303)	(0.078)	(0.491)	(1.606)	(11.142)	(2.155)	(18.370)
Foreign unitary passive ownership	0.153	1.030*	0.154	1.037*	0.161	1.090*	0.155	1.041*
	(0.101)	(0.600)	(0.101)	(0.600)	(0.101)	(0.601)	(0.101)	(0.601)
Foreign two-tier ownership	-0.471	-3.649	-0.471	-3.655	-0.452	-3.605	-0.475	-3.760
	(0.319)	(2.301)	(0.320)	(2.304)	(0.317)	(2.291)	(0.319)	(2.311)
Constant	0.849***	1.783	0.883***	1.994	0.858***	1.853	0.857***	1.804
	(0.176)	(1.381)	(0.176)	(1.392)	(0.176)	(1.369)	(0.174)	(1.359)
Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
City FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
N	21941	21843	21911	21813	21941	21843	21941	21843
Adjust R^2	0.180	0.177	0.180	0.177	0.180	0.177	0.180	0.177

Notes: This table reports estimated coefficients for the contingency effects of active foreign ownership and adoption of the "audit committee" system. The dependent variable is an indicator for "audit committee" system adoption (1 = "audit committee" system; 0 = "auditor board" system). Information update frequency measures the total number of earnings forecast revisions in a fiscal year. Mandated Q4 update or silence is an indicator equal to 1 if a firm makes a fourth-quarter stand-alone earnings forecast revision of at least 30% or makes no revision, and 0 otherwise. Employee ownership is the proportion of outstanding shares held by domestic employees, and cross ownership is the sum of equity stakes held by other listed companies with reciprocal ownership. Robust standard errors clustered by firm are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

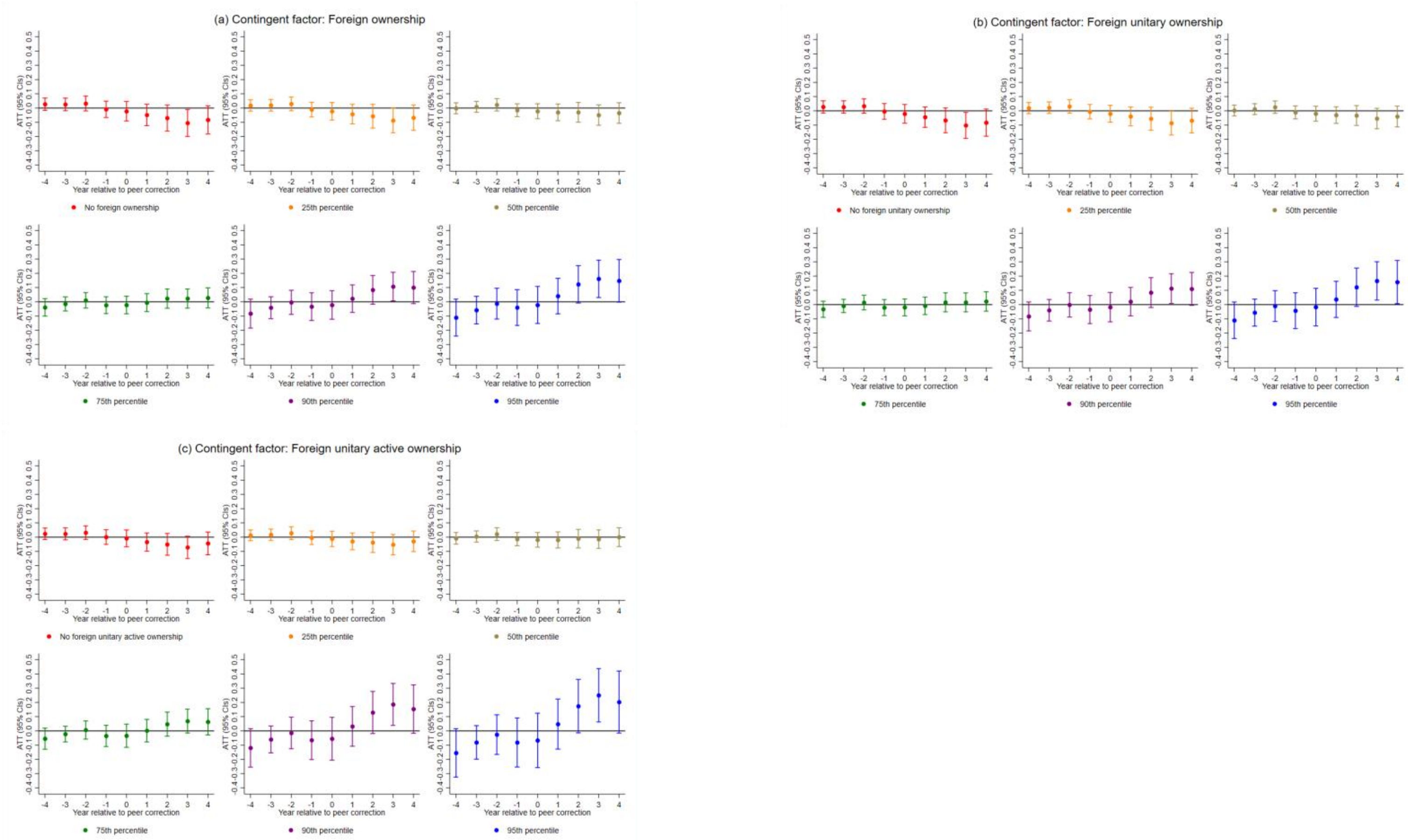
TABLE 7 Testing results for audit and supervisory committee structure and outcome variables

	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)
	OLS	Logit	OLS	OLS	OLS	Logit	OLS	Logit	OLS	Logit
Dependent variable:	AC + Outside chairperson		A&S committee outside director ratio	A&S committee independent director ratio	AC + Outside directors are all independent		AC + No former auditor		Forecast corrections (t+1)	
Foreign unitary active ownership	0.075*	1.321**	0.135**	0.126**	0.213***	1.441***	0.106*	1.162**	0.011	0.842
	(0.046)	(0.606)	(0.054)	(0.057)	(0.080)	(0.470)	(0.057)	(0.552)	(0.012)	(0.878)
Audit committee									0.006**	0.432**
									(0.003)	(0.168)
Audit committee×Foreign unitary active ownership									-0.038**	-3.131*
									(0.019)	(1.812)
Foreign unitary passive ownership	0.093	1.026	0.105	0.111	0.148	0.957	0.131	1.145	0.020	1.183
	(0.074)	(0.797)	(0.080)	(0.084)	(0.109)	(0.624)	(0.089)	(0.722)	(0.015)	(0.838)
Foreign two-tier ownership	-0.018	-1.498	-0.296	-0.277	-0.541	-3.375	-0.241	-2.913	0.012	0.819
	(0.212)	(3.313)	(0.247)	(0.271)	(0.364)	(2.328)	(0.250)	(2.828)	(0.050)	(3.270)
Constant	0.428***	-2.057	0.680***	0.566***	2.039***	2.740**	0.849***	4.685***	0.004	-4.274***
	(0.087)	(1.283)	(0.124)	(0.133)	(0.207)	(1.373)	(0.171)	(1.508)	(0.015)	(1.104)
Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
City FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
N	21699	21327	21941	18783	18926	18673	21941	21681	21328	18230
Adjust R^2	0.147	0.236	0.208	0.219	0.188	0.153	0.122	0.153	0.004	0.039

Notes: This table reports estimated coefficients for the relationship between active foreign ownership and substantive governance changes following adoption of the “audit committee” system. The dependent variables are: an indicator for an outside chair of the audit committee (Columns (1)–(2)); audit committee independence ratio (Columns (3)–(4)); an indicator for full independence of outside audit committee members (Columns (5)–(6)); an indicator for the absence of former auditor board members on the audit committee (Columns (7)–(8)); and a dummy for earnings or dividend forecast corrections in the following fiscal year (Columns (9)–(10)). Robust standard errors clustered by firm are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

Appendix S1

FIGURE A1 Average treatment effects of peer correction on the adoption of the “audit committee” system by year



This figure shows the average treatment effect on the treated (ATT) by year, contingent on (active) foreign ownership at 0, 25th, 50th, 75th, 90th, and 95th percentiles. Vertical bars represent 95% confidence intervals. Robust standard errors are clustered at the firm level. Estimation by OLS regression.

Comparison among three types of CG systems in Japan

Table A1 Summary of the main differences among three types of corporate governance systems

	"Auditor board"	"Audit committee" system	"Three committees"
Positions elected in the shareholder meeting	1. Company auditors 2. Directors	1. Directors who are Audit and Supervisory Committee Members 2. Other directors	Directors (The committee members of each committee are appointed from among the directors by a resolution at the board of directors meeting.)
Outside directors	Comply or explain	Mandatory	Mandatory
Position to operate the firm	Directors	Directors	Executive officer
Board of directors			
Authority of the board of directors	1. Deciding the execution of the operations; 2. Supervising the execution of duties by directors; 3. Appointing and removing Representative Directors.	1. Deciding the execution of the operations; 2. Supervising the execution of duties by directors; 3. Appointing and removing Representative Directors.	1. Deciding execution of other operations; 2. Supervision of the execution of duties by executive officers; 3. Appointing and removing an executive officer.
Nomination and compensation committees	Voluntary	Voluntary	Mandatory
Audit and supervisory sectors			
	Board of auditors	Audit and Supervisory	Audit Committee
Channel to appoint or dismiss sector members	Shareholder meeting	Shareholder meeting	Board of directors meeting
Members in the board of auditors/committees	Company Auditors	Directors	Directors
Qualification	1. Must have three or more auditors; 2. Majority of auditors must be outside company auditors.	1. Must have three or more directors who are Audit and Supervisory Committee Members; 2. Majority of Audit and Supervisory Committee Members must be outside directors.	1. Must have three or more committee members; 2. The majority of the committee members must be outside directors.

Authorities of board of auditors/ Committees	1. Auditing the execution of duties by directors and preparing audit reports; 2. Appointing and removing full-time company auditors; 3. Deciding audit policy, methods for investigating the status of the operations and financial status.	1. Auditing execution of duties of directors and preparing audit reports; 2. Determining the content of proposals regarding the election and dismissal of a financial auditor and the refusal to reelect financial auditors to be submitted to a shareholders meeting; 3. Requesting the directors and managers to report on matters related to the execution of their duties, or investigating the status of the operations and financial status; 4. Determining opinions of the nomination of the Audit and Supervisory Committee Members; 5. Determining opinions of remuneration of other directors and directors who are Audit and Supervisory Committee Members.	1. Auditing execution of duties of directors or executive officers and preparing audit reports; 2. Determining the content of proposals regarding the election and dismissal of a financial auditor and the refusal to reelect financial auditors to be submitted to a shareholders meeting; 3. Requesting reports on the execution of their duties from executive officers, etc. and managers, or investigating the status of the operations and financial status.
Enjoinment of Acts of Directors/Executive Officers	Yes	Yes	Yes
Obligation to Attend Board of Directors Meetings	Yes	Yes	Yes
Voting rights in the director meeting	No	Yes	Yes
Duty to Report misconduct of directors/ executive officers to the Board of Directors	Yes	Yes	Yes
Duty to investigate reports submitted to shareholder meetings	Yes	Yes	Yes

Notes: The contents refer to the Japan Companies Act reformed in 2014.

Table A2 Variable definitions

Variable	Definition	Source
Dependent variables		
Audit committee	An indicator variable that equals 1 if a firm adopts the "audit committee" system, and equals 0 if a firm adopts the 'auditor board' system.	Corporate governance report on the TSE website
Three committees	An indicator variable that equals 1 if a firm adopts the "three committees" system, and equals 0 in other cases.	Corporate governance report on the TSE website
AC + Outside chairperson	An indicator variable that equals 1 if a firm adopts the "audit committee" system and the chairperson of the audit and supervisory committee is an outsider, otherwise 0.	Corporate governance report on the TSE website
A&S committee outside director ratio	The proportion of outside directors over the total audit and supervisory committee size. 0 if the firm does not adopt the "Audit committee" system.	Corporate governance report on the TSE website
A&S committee independent director ratio	The proportion of independent directors over the total audit and supervisory committee size. 0 if the firm does not adopt the "Audit committee" system.	Corporate governance report on the TSE website
AC + Outside directors are all independent	An indicator variable that equals 1 if a firm adopts the "audit committee" system and the independence of outside directors on the audit and supervisory committee exceeds the minimum level set by the regulation, otherwise 0.	Corporate governance report on the TSE website
AC + No former auditor	An indicator variable that equals 1 if a firm adopts the "audit committee" system and there are no former auditors from the 'auditor board' system on the audit and supervisory committee, otherwise 0.	Corporate governance report on the TSE website
Forecast corrections	An indicator variable that equals 1 if a firm announces corrections for the earnings or dividend revision forecasts in the following fiscal year, otherwise 0.	Timely disclosures on the TSE website
Independent variables		
Foreign ownership	The percentage of the total outstanding shares held by non-Japanese investors	LSEG Refinitive
Foreign ownership square	The square of the percentage of the total outstanding shares held by non-Japanese investors	LSEG Refinitive
Foreign unitary ownership	The percentage of the total outstanding shares held by non-Japanese investors from a country with dominance of unitary board structure.	LSEG Refinitive
Foreign unitary ownership square	The square of the percentage of the total outstanding shares held by non-Japanese investors from a country with dominance of unitary board structure.	LSEG Refinitive
Foreign two-tier ownership	The percentage of the total outstanding shares held by non-Japanese investors from a country with dominance of two-tier board structure.	LSEG Refinitive
Foreign unitary active ownership	The percentage of the total outstanding shares held by active non-Japanese investors from a unitary board system country.	LSEG Refinitive
Foreign unitary passive ownership	the percentage of the total outstanding shares held by passive non-Japanese investors from a unitary board system country.	LSEG Refinitive
ROE	The net income after tax over the total equity.	LSEG Refinitive
Market-to-book	The market capitalization over total equity.	LSEG Refinitive

Leverage	The total debt over total assets.	LSEG Refinitive
Ln sales	The natural logarithm of sales.	LSEG Refinitive
Revenue growth	The increase in a company's total sales compared to the previous year.	LSEG Refinitive
Firm size	The natural logarithm of market capitalization.	LSEG Refinitive
Firm age	The length of time that a firm has been in operation since its establishment or incorporation.	Corporate governance report on the TSE
Listing age	The length of time that a firm has been listed on the TSE.	Corporate governance report on the TSE
Board size	The number of directors on the board.	Corporate governance report on the TSE website
Board independence	The proportion of outside board members over the total board size.	Corporate governance report on the TSE website
CEO optimism	An indicator that equals 1 if a firm's initial managerial forecasts exceed the previous year's realized earnings.	Timely disclosures on the TSE website
Domestic concentration	The ownership concentration of domestic owners.	LSEG Refinitive
Employee ownership	The proportion of total outstanding shares held by domestic employees	LSEG Refinitive
Domestic bank ownership	The proportion of total outstanding shares held by domestic banks.	LSEG Refinitive
Cross ownership	The sum of stakes held by other listed companies (where the focal firm also has a stake)	LSEG Refinitive
Family ownership	The proportion of total outstanding shares held by family owners.	LSEG Refinitive
Peer restatement	An indicator variable that equals 1 if a firm's peers, who share the top 3 domestic owners with the firm, experience net income restatements with a magnitude equaling or larger than 30%, 0 otherwise.	Timely disclosures on the TSE website and EDINET
Post time	An indicator variable that equals 1 if the year is after the shock, and 0 if the year is before the shock.	Timely disclosures on the TSE website
Information update frequency	Total number a firm discloses earnings forecast revisions in one fiscal year.	Timely disclosures on the TSE website
Mandated Q4 update or silence	An indicator variable that equals 1 if a firm's final earnings forecasts revision is in the 4th quarter of the fiscal year or has no earnings revisions, 0 otherwise.	Timely disclosures on the TSE website

Note: all the independent variables are lagged by one year. The definition of cross ownership follows the Japan Financial Services Agency. They define cross-shareholdings as "The ratio of shares of other listed companies held by listed companies and insurance companies (on a market value basis) to the total market capitalization of the market (excluding shares of subsidiaries and affiliates)."

TABLE A3 Correlations of main variables

Variables	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)
(1) Audit committee	1.000										
(2) Foreign ownership	-0.038*	1.000									
(3) Foreign unitary ownership	-0.028*	0.984*	1.000								
(4) Foreign unitary active ownership	-0.016	0.792*	0.812*	1.000							
(5) Foreign unitary passive ownership	-0.033*	0.711*	0.708*	0.186*	1.000						
(6) Foreign two-tier ownership	-0.084*	0.543*	0.407*	0.299*	0.376*	1.000					
(7) ROE	0.001	0.017*	0.015	0.016	0.008	0.021*	1.000				
(8) Market-to-book	0.003	0.014	0.019*	0.037*	-0.023*	-0.027*	-0.384*	1.000			
(9) Leverage	-0.027*	-0.085*	-0.090*	-0.159*	0.042*	-0.009	-0.070*	0.029*	1.000		
(10) Ln sales	-0.126*	0.451*	0.411*	0.306*	0.379*	0.485*	0.042*	-0.132*	0.233*	1.000	
(11) Revenue growth	0.005	0.003	0.004	0.018*	-0.019*	-0.008	0.019*	0.073*	-0.026*	-0.054*	1.000
(12) Firm size	-0.114*	0.550*	0.511*	0.414*	0.413*	0.526*	0.047*	0.061*	-0.067*	0.806*	0.027*
(13) Firm age	-0.091*	0.141*	0.122*	0.056*	0.172*	0.195*	0.030*	-0.186*	0.042*	0.398*	-0.114*
(14) Listing age	-0.120*	0.287*	0.256*	0.122*	0.328*	0.340*	0.022*	-0.118*	0.100*	0.507*	-0.072*
(15) Board independence	0.253*	0.081*	0.084*	0.049*	0.091*	0.018*	-0.027*	0.063*	-0.020*	-0.048*	0.006
(16) Board size	0.110*	0.211*	0.189*	0.133*	0.189*	0.248*	0.029*	-0.088*	0.097*	0.518*	-0.042*
(17) CEO optimism	-0.018*	0.018*	0.016	0.020*	0.000	0.023*	-0.008	0.067*	0.054*	0.006	0.086*
(18) Domestic HHI	0.032*	-0.441*	-0.423*	-0.316*	-0.353*	-0.319*	-0.016	0.077*	0.017	-0.317*	0.031*
(19) Employee ownership	0.023*	-0.153*	-0.153*	-0.110*	-0.129*	-0.081*	0.018*	-0.075*	0.034*	-0.028*	-0.034*
(20) Domestic bank ownership	-0.059*	0.053*	0.032*	-0.028*	0.117*	0.174*	0.019*	-0.122*	0.064*	0.285*	-0.066*
(21) Cross ownership	-0.042*	-0.003	-0.007	-0.014	0.015	0.033*	0.010	-0.064*	-0.027*	0.160*	-0.041*
(22) Family ownership	0.073*	-0.303*	-0.281*	-0.188*	-0.282*	-0.283*	-0.022*	0.129*	-0.059*	-0.503*	0.073*

TABLE A3 (continued)

Variables	(12)	(13)	(14)	(15)	(16)	(17)	(18)	(19)	(20)	(21)	(22)
(12) Firm size	1.000										
(13) Firm age	0.214*	1.000									
(14) Listing age	0.411*	0.681*	1.000								
(15) Board independence	0.056*	-0.161*	-0.046*	1.000							
(16) Board size	0.456*	0.268*	0.297*	-0.154*	1.000						
(17) CEO optimism	0.040*	-0.105*	-0.055*	-0.011	-0.014	1.000					
(18) Domestic HHI	-0.264*	-0.337*	-0.300*	0.033*	-0.196*	0.022*	1.000				
(19) Employee ownership	-0.163*	0.047*	-0.112*	-0.111*	0.025*	-0.002	-0.110*	1.000			
(20) Domestic bank ownership	0.158*	0.448*	0.411*	-0.160*	0.210*	-0.044*	-0.428*	0.096*	1.000		
(21) Cross ownership	0.102*	0.283*	0.234*	-0.066*	0.137*	-0.038*	-0.197*	-0.001	0.184*	1.000	
(22) Family ownership	-0.396*	-0.457*	-0.483*	0.021*	-0.341*	0.049*	0.235*	-0.010	-0.356*	-0.226*	1.000

Note: * denote statistical significance at 1% level.

TABLE A4 Effects of (active) foreign ownership using Cox proportional hazards models

	(1)	(2)	(3)
Foreign ownership	2.253***		
	(0.643)		
Foreign unitary ownership		2.518***	
		(0.742)	
Foreign unitary active ownership			3.561***
			(1.382)
Foreign unitary passive ownership			1.876
			(0.959)
Foreign two-tier ownership		0.493	0.481
		(1.019)	(1.005)
ROE	0.961***	0.961***	0.961***
	(0.011)	(0.011)	(0.011)
Market-to-book	0.988*	0.987*	0.987*
	(0.007)	(0.007)	(0.007)
Leverage	0.936	0.935	0.969
	(0.187)	(0.187)	(0.194)
Ln sales	1.075	1.077	1.073
	(0.049)	(0.049)	(0.049)
Revenue growth	1.050	1.050	1.050
	(0.047)	(0.047)	(0.047)
Firm size	1.036	1.038	1.036
	(0.046)	(0.046)	(0.046)
Firm age	0.997*	0.997*	0.996*
	(0.002)	(0.002)	(0.002)
Listing age	1.003	1.003	1.003
	(0.002)	(0.002)	(0.002)
Board independence	0.031***	0.031***	0.031***
	(0.010)	(0.010)	(0.010)
Board size	0.894***	0.894***	0.895***
	(0.014)	(0.014)	(0.014)
CEO optimism	1.091	1.091	1.092
	(0.071)	(0.071)	(0.072)
Domestic concentration	1.129	1.133	1.131
	(0.257)	(0.259)	(0.258)
Employee ownership	1.872	1.913	1.884
	(1.378)	(1.408)	(1.387)
Domestic bank ownership	1.727	1.766	1.806
	(0.726)	(0.741)	(0.760)
Cross ownership	1.008	0.973	0.988
	(1.417)	(1.369)	(1.392)
Family ownership	0.918	0.922	0.919
	(0.136)	(0.137)	(0.137)
Industry FE	Yes	Yes	Yes
City FE	Yes	Yes	Yes
N	17910	17910	17910
Log-likelihood	-8088.2628	-8087.4975	-8086.5096

This table reports hazard ratios estimated using Cox proportional hazards models. The dependent variable is the hazard of the "audit committee" system adoption. Robust standard errors clustered by firm are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

TABLE A5 Effects of (active) foreign ownership lagged by 5 years

Dependent variable: Audit committee	(1) OLS	(2) Logit	(3) OLS	(4) Logit	(5) OLS	(6) Logit
Foreign ownership (lagged 5 years)	0.124**	0.866***				
	(0.052)	(0.320)				
Foreign unitary ownership (lagged 5 years)			0.160***	1.123***		
			(0.054)	(0.331)		
Foreign unitary active ownership (lagged 5 years)					0.225***	1.555***
					(0.069)	(0.422)
Foreign unitary passive ownership (lagged 5 years)					0.095	0.745
					(0.111)	(0.671)
Foreign two-tier ownership			-0.376	-3.085	-0.384	-3.227
			(0.322)	(2.339)	(0.322)	(2.353)
Constant	0.905***	2.257	0.877***	1.996	0.891***	2.116
	(0.182)	(1.383)	(0.183)	(1.400)	(0.183)	(1.399)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes	Yes	Yes	Yes
City FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
N	20737	20639	20737	20639	20737	20639
Adjust R^2	0.179	0.176	0.179	0.176	0.180	0.177

This table reports estimated coefficients for the relationship between (active) foreign ownership and the adoption of the "audit committee" system. The dependent variable is an indicator for "audit committee" adoption (1 = "audit committee" system; 0 = "auditor board" system). Robust standard errors clustered by firm are in parentheses. ***, **, and * denote statistical significance at 1%, 5% and 10% level, respectively.

TABLE A6 Foreign ownership around adoption

Dependent variable	(1) Foreign ownership	(2) Foreign unitary ownership	(3) Foreign unitary active ownership
T-5	-0.004	-0.006	-0.001
	(0.006)	(0.006)	(0.005)
T-4	-0.003	-0.004	-0.002
	(0.005)	(0.004)	(0.004)
T-3	0.001	0.000	0.000
	(0.004)	(0.004)	(0.003)
T-2	-0.003	-0.003	-0.000
	(0.003)	(0.003)	(0.002)
T=0	-0.001	-0.001	-0.001
	(0.003)	(0.003)	(0.002)
T+1	0.004	0.004	0.003
	(0.005)	(0.005)	(0.004)
T+2	0.005	0.006	0.002
	(0.005)	(0.005)	(0.004)
T+3	0.007	0.006	0.007
	(0.005)	(0.005)	(0.004)
T+4	0.006	0.005	0.004
	(0.006)	(0.006)	(0.004)
T+5	0.007	0.006	0.004
	(0.007)	(0.006)	(0.005)
Constant	-0.535***	-0.406***	-0.266***
	(0.049)	(0.051)	(0.038)
Controls	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes
City FE	Yes	Yes	Yes
Year FE	Yes	Yes	Yes
N	10291	10291	10291
Adjust R^2	0.485	0.447	0.335

This table reports estimated coefficients for the relationship between indicators for event time relative to the adoption of the "audit committee" system and foreign ownership. The dependent variable is *Foreign ownership* in Column (1), *Foreign unitary ownership* in Column (2), and *Foreign unitary active ownership* in Column (3). Robust standard errors clustered by firm are in parentheses. ***, **, and * denote statistical significance at 1%, 5% and 10% level, respectively.

TABLE A7 Robustness check: alternative measurement for active foreign ownership

Dependent variable: Audit committee	(1) OLS	(2) Logit	(3) OLS	(4) Logit
	Classified by investment style		Excluding neighbors	
Foreign unitary active ownership	0.188***	1.385***	0.243***	1.737***
	(0.070)	(0.450)	(0.074)	(0.470)
Foreign unitary passive ownership	0.184*	1.199*	0.322**	2.178***
	(0.111)	(0.641)	(0.134)	(0.826)
Foreign two-tier ownership	-0.481	-3.714	-0.579*	-4.455*
	(0.319)	(2.300)	(0.322)	(2.336)
Constant	0.860***	1.846	0.896***	2.132
	(0.176)	(1.380)	(0.177)	(1.386)
Controls	Yes	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes	Yes
City FE	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes
N	21941	21843	21941	21843
Adjust R^2	0.179	0.176	0.180	0.177

This table reports estimated coefficients for the relationship between active foreign ownership, measured using alternative methods, and the adoption of the "audit committee" system. The dependent variable is an indicator for "audit committee" adoption (1 = "audit committee" system; 0 = "auditor board" system). The active foreign ownership in Columns (1) – (2) is measured based on investment style, and in Columns (3) – (4) excludes investors from economic districts including, mainland China, Hong Kong, South Korea, Taiwan, and Singapore. Robust standard errors clustered by firm are in parentheses. ***, **, and * denote statistical significance at 1%, 5% and 10% level, respectively.

TABLE A8 Difference-in-difference results: alternative measurement for active foreign ownership

	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
	OLS	Logit	OLS	Logit	OLS	Logit	OLS	Logit
	3-year cohort				4-year cohort			
Dependent variable: Audit committee	Classified by investment style		Excluding neighbor		Classified by investment style		Excluding neighbors	
Post	0.040*	0.330*	0.031	0.288	0.051**	0.444**	0.039*	0.389*
	(0.023)	(0.190)	(0.022)	(0.185)	(0.025)	(0.205)	(0.023)	(0.203)
Peer correction	0.009	-0.090	0.010	-0.027	0.023	-0.041	0.022	0.008
	(0.024)	(0.367)	(0.023)	(0.356)	(0.022)	(0.383)	(0.021)	(0.376)
Peer correction×Post	-0.086***	-0.390	-0.068**	-0.328	-0.094***	-0.363	-0.071**	-0.264
	(0.031)	(0.303)	(0.028)	(0.289)	(0.033)	(0.333)	(0.030)	(0.323)
Foreign unitary active ownership	0.389**	4.956***	0.534**	6.335***	0.413**	5.521***	0.569***	7.152***
	(0.177)	(1.695)	(0.210)	(1.900)	(0.183)	(1.794)	(0.215)	(2.038)
Post×Foreign unitary active ownership	-0.489***	-4.636***	-0.450***	-4.422***	-0.539***	-5.707***	-0.480**	-5.616***
	(0.160)	(1.274)	(0.171)	(1.290)	(0.176)	(1.392)	(0.193)	(1.495)
Peer correction×Foreign unitary active ownership	-0.159	-1.023	-0.264	-2.152	-0.267	-2.576	-0.376*	-3.712
	(0.185)	(2.127)	(0.217)	(2.321)	(0.189)	(2.288)	(0.220)	(2.496)
Post × Peer correction × Foreign unitary active ownership	0.827***	5.367***	0.814***	5.451***	0.950***	7.069***	0.910***	6.969***
	(0.207)	(1.841)	(0.220)	(1.914)	(0.223)	(2.023)	(0.241)	(2.142)
Foreign unitary passive ownership	-0.009	-0.377	0.119	1.520	0.020	0.768	0.102	1.944
	(0.211)	(2.127)	(0.220)	(2.165)	(0.207)	(2.193)	(0.211)	(2.177)
Foreign two-tier ownership	-0.134	-0.435	-0.145	-0.812	-0.294	-3.497	-0.290	-3.709
	(0.297)	(4.111)	(0.298)	(4.116)	(0.283)	(4.163)	(0.284)	(4.176)
Constant	1.053***	9.952***	1.105***	10.396***	0.827***	8.125***	0.866***	8.379***
	(0.244)	(2.322)	(0.240)	(2.301)	(0.221)	(2.318)	(0.217)	(2.290)
Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
City FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
N	6456	4413	6456	4413	8253	5423	8253	5423
Adjust R^2	0.239	0.234	0.240	0.237	0.238	0.227	0.240	0.231

This table presents estimated coefficients of the difference-in-difference model using peer restatements as an exogenous shock for active foreign ownership using alternative measurements. The active foreign ownership in Columns (1) – (2) and (5) – (6) is measured using investment style, and in Columns (3) – (4) and (7) – (8) excludes investors from economic districts including, mainland China, Hong Kong, South Korea, Taiwan, and Singapore. The dependent variable is an indicator for "audit committee" adoption (1 = "audit committee" system; 0 = "auditor board" system). Post is an indicator variable that equals 1 if the year is after the treatment year included in the cohort, 0 if the year is before the treatment year included in the cohort, and missing in the treatment year included in the cohort. Peer correction is an indicator variable that equals 1 if peers who share the top 3 domestic owners with the firm, experience restatements in the cohort, otherwise 0. We require that at least 7 years of CG, ownership, and financial data be available for the tested firms for the tests. We apply a 3-year window in Columns (1) – (4), and a 4-year window in Columns (5) – (8). Robust standard errors clustered by firm are in parentheses. ***, **, and * denote statistical significance at 1%, 5% and 10% level, respectively.

TABLE A9 Matching sample comparison

	Treatment	Control	t-test (p-value)
ROE	0.021	0.024	0.608
Market-to-book	1.275	1.393	0.268
Leverage	0.504	0.449	0.000
Ln sales	20.907	20.117	0.000
Revenue growth	-0.012	-0.004	0.280
Firm size	20.211	19.432	0.000
Board independence	0.164	0.170	0.509
Cross ownership	0.019	0.012	0.015
Domestic concentration	0.145	0.199	0.000

This table compares average values of the variables in the treatment and control groups in the pretreatment period for the 3-year window. The treatment group includes 598 firms experiencing peer restatements during the sample period. The control group includes three firms that best match each treated firm using propensity scores matching with replacement. All variables are winsorized at the 1 and 99 percentiles before matching.

Difference-in-difference estimation method

For this analysis, shocks occur between 2015 and 2020. We examine a three-year window before and after each shock, yielding an overall sample period of 2012–2023. Treatment timing is staggered, as firms are exposed to peer restatements in different years. This design helps reduce the likelihood that the results are driven by year-specific shocks affecting particular groups of firms. To be included, firms must qualify as peers both in the shock year and at least one year prior to the shock. The treated group consists of firms whose peers experience substantial earnings restatements. Firms are treated only once, at the first occurrence of a peer financial restatement from 2015 onward. Firms in the control group experience no peer restatements and are therefore never treated. Firms that issue restatements themselves are coded as missing in the corresponding cohort. We require sample firms to have at least seven consecutive years of CG, ownership, and financial data, covering the three years before and the three years after the shock year. In total, 598 firms experience peer restatements. We collect net income restatement data from timely disclosures on the TSE website and from annual securities reports filed through EDINET. We estimate the following model:

$$Prob(Audit\ committee_{itc} = 1) = \alpha + \beta_1 Foreign\ ownership_{ict-1} + \beta_2 Post_{ct} + \beta_3 Peer\ restatement_{ic} + \beta_4 Foreign\ ownership_{ict-1} \times Post_{ct} + \beta_5 Foreign\ ownership_{ict-1} \times Peer\ restatement_{ic} + \beta_6 Post_{ct} \times Peer\ restatement_{ic} + \beta_7 Post_{ct} \times Peer\ restatement_{ic} \times Foreign\ ownership_{ict-1} + \gamma Controls_{ict-1} + \theta_j + \delta_g + \tau_t + \pi_c + \varepsilon_{itc} \quad (2)$$

$Peer\ correction_{ic}$ is an indicator variable that equals 1 if peers of firm i that share one of the focal firm's top three domestic owners experience substantial net income restatements in cohort c, and 0 otherwise.. $Post_{tc}$ is an indicator variable that equals 1 if year t falls after the treatment year in cohort c, 0 if year t falls before the treatment year in cohort c, and is coded as missing for the treatment year itself. β_7 is the coefficient of primary interest. π_c denotes cohort fixed effects. θ_j, δ_g and τ_t denote industry, city, and year fixed effects, respectively. ε_{itc} is the regression error term.

Before estimating the difference-in-differences models, we apply propensity score matching (PSM) to improve comparability between the treated and control groups. For each treated firm, we identify three nearest neighbors with replacement. Matching is based on the following ex ante firm characteristics, measured one year prior to cohort inclusion: *ROE, Leverage, Market-to-book, Ln sales, Revenue growth, Firm size, Firm age, Board independence, Domestic concentration, Cross ownership*, and industry fixed effects. All variables are winsorized at the 1st and 99th percentiles before matching. Table A4 reports the matching quality by presenting the mean values of each matching variable separately for the treated and control groups. Overall, the matched treated and control firms are comparable. Although Leverage, Ln sales, Firm size, and Domestic concentration remain statistically different after matching, the differences in mean values are small.

Affiliations that outside directors can have with the firm:

a. Listed company or its subsidiary business executive

b. Executive or non-executive director of the parent company of a listed company

c. Executives of sibling companies of listed companies

d. A person whose main business partner is a listed company or its business execution

e. Major business partners of listed companies or their business executors

f. Consultants, accounting experts, and legal professionals who have received a large amount of money or other assets from listed companies in addition to executive compensation.

g. Major shareholders of a listed company (or an executor of the corporation if the major shareholder is a corporation)

h. Business executors of business partners of listed companies (those that do not fall under any of D, E, and F) (only the person himself/herself)

i. Business executors who are related to the mutual appointment of outside officers (only the person himself/herself)

j. Business executives of companies donated by listed companies (only the person himself/herself)

k. other